Financial Statements

Financial statements are reports compiled by businesses that detail the company's financial activities and health. Financial statements are often audited by government agencies and accountants to ensure accuracy and for tax, financing, or investing purposes.

The primary financial statements of for-profit businesses include the balance sheet, income statement, statement of cash flow, and statement of changes in equity. Nonprofit entities use similar financial statements, though they have different names and communicate slightly different information.

How Financial Statements Work

A business's financial data is used by internal and external parties to analyze that company's performance and make predictions about the likely direction of its stock price. One of the most important sources of reliable and audited financial data is the annual report, which contains the firm's financial statements.

The financial statements are used by investors, market analysts, and creditors to evaluate a company's financial health and earnings potential. The three major financial statement reports are the balance sheet, income statement, and statement of cash flows.

Understanding the Balance Sheet

A company's balance sheet provides an overview of the company's assets, liabilities, and shareholders' equity at a specific time and date. The date at the top of the balance sheet tells you when this snapshot was taken; this is generally the end of its annual reporting period. Below is a breakdown of the items in a balance sheet.

Assets

- Cash and cash equivalents are liquid assets, which may include Treasury bills and certificates of deposit.
- **Accounts receivable** are the money owed to the company by its customers for the sale of its products and services.
- **Inventory** is the goods a company has on hand, intended to be sold as a course of business. Inventory may include finished goods, work in progress that is not yet finished, or raw materials on hand that have yet to be worked.
- **Prepaid expenses** are costs paid in advance of when they are due. These expenses are recorded as an asset because their value has not yet been recognized; should the benefit not be recognized, the company would theoretically be due a refund.
- **Property, plant, and equipment (PPE)** are capital assets owned by a company for its long-term benefit. This includes buildings used for manufacturing or heavy machinery used for processing raw materials.
- **Investments** are assets held for speculative future growth. These aren't used in operations; they are simply held for capital appreciation.
- **Trademarks, patents, goodwill, and other intangible assets** can't physically be touched but have future economic (and often long-term benefits) for the company.

Liabilities

- **Accounts payable** are the bills due as part of a business's operations. This includes utility bills, rent invoices, and obligations to buy raw materials.
- **Wages payable** are payments due to staff for time worked.
- **Notes payable** are recorded debt instruments that record official debt agreements, including the payment schedule and amount.
- Dividends **payable** are dividends that have been declared to be awarded to shareholders but have not yet been paid.
- **Long-term debt** can include a variety of obligations, including sinking bond funds, mortgages, or other loans that are due in their entirety in more than one year.

Shareholders' Equity

- **Shareholders' equity** is a company's total assets minus its total liabilities. Shareholders' equity (also known as stockholders' equity) represents the amount of money that would be returned to shareholders if all of the assets were liquidated and all debts paid off.
- Retained earnings are part of shareholders' equity; this is the amount of net earnings that were not paid to shareholders as dividends.